

BANARAS HINDU UNIVERSITY

B. Com. (Hons.) Semester I Examination, 2025-26 (NEP)

COMMERCE**Paper Code: COMMJ11 : Financial Accounting**

Time: 2:30 Hours

Full Marks: 70

REF NO. CECONF/2025-26/PS/24

*Instructions: Answer **all** questions. All questions carry equal marks (14 marks each). Write your Roll No. at the top immediately on receipt of this question paper.*

1. (a) Explain in brief Provisions and Reserves. [7]

(b) Explain Trial Balance. State the errors which are not disclosed by Trial Balance. [7]

OR /

Prepare Bank Reconciliation Statement from the following particulars and show the balance as per pass book: [14]

:

- (a) Cash book of Singh Traders showed an overdraft of Rs. 82,000.
 - (b) Cheque issued but not encashed Rs. 23,000.
 - (c) Cheque paid into Bank but not credited Rs. 30,000.
 - (d) Interest charged on overdraft Rs. 1,200.
 - (e) Bank Charges Rs. 500.
 - (f) Interest on debentures collected by Bank Rs. 6,000.
 - (g) Insurance Premium paid by Bank Rs. 2,200.
 - (h) A customer paid to Singh Traders directly into Bank Rs. 10,000.
2. Prepare Trading and Profit and Loss Account for the year ended 31st December, 2024 and Balance Sheet as on that date from the following Trial Balance: [14]

Debit Particulars	Amount (Rs.)	Credit Particulars	Amount (Rs.)
Land & Building	70,000	Sales	2,00,000
Plant & Machinery	60,000	Purchase Return	12,000
Loose tools	10,000	Capital	2,50,000
Bills Receivable	15,000	Creditors	95,000
Opening Stock	50,000	Bank Loan	16,000
Purchases	1,40,000	Commission	2,000
Wages	40,000		
Carriage	5,000		
Salaries	25,000		
Rents & Rates	5,000		
Discount	4,000		
Cash	8,000		
Debtors	80,000		
Bad Debts	4,000		
Furniture	20,000		
Advertising	8,000		
Sales Return	15,000		
Goodwill	16,000		
Total	5,75,000	Total	5,75,000

Adjustments:

- (a) Closing Stock Rs. 78,000.
- (b) Prepaid Advertising Rs. 1,500.
- (c) Interest on Bank Loan @ 10% p.a.
- (d) Depreciate Plant & Machinery @ 10% and Loose tools @ 15% p.a.
- (e) Provide for doubtful debts @ 5% p.a.
- (f) Free samples distributed Rs. 800.

OR /

- (a) Explain Bills of Exchange and its various parties. What is the difference between Accommodation Bill and Promissory Note? [7]
- (b) Give the journal entries in the books of Drawer and Drawee. [7]

3. X and Y share profits in the proportion of 5/8 and 3/8. The Balance Sheet of the firm as on 31st March, 2025 was as under: [14]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Creditors	25,000	Cash at Bank	11,200
General Reserve	20,000	Bills Receivable	12,800
Capital Accounts:		Debtors	20,000
X: 75,000		Stock	35,000
Y: 60,000	1,35,000	Furniture	21,000
		Machinery	30,000
		Building	50,000
Total	1,80,000	Total	1,80,000

On the above date Z was admitted on the following terms:

- (a) Z was to get $\frac{1}{5}$ share in profits and he would pay Rs. 50,000 as capital and Rs. 16,000 as share of Goodwill.
- (b) Machinery was to be depreciated by 10% and building was to be appreciated by 20%. Stock was valued at 25% above cost. Stock to be shown in new firm at cost price.
- (c) Liability for repair to furniture Rs. 600.
- (d) Capital Accounts of old partners were to be adjusted in new profit sharing ratio.

OR /

- (i) What is meant by Revaluation Account? Differentiate between Revaluation Account and Profit & Loss Account. [7]
- (ii) Explain the different methods of treating premium paid on Joint Life Policies. Show the entries also. [7]
- (e) RK Ltd., registered with a nominal capital of 10,000 shares of Rs. 100 each, issued 5,000 shares at a premium of Rs. 10 per share, payable as Rs. 20 on Application, Rs. 50 on Allotment, Rs. 20 on First Call and Rs. 20 on Second & Final Call. Applications were received for 6,000 shares and pro-rata allotment was made. One shareholder having 300 shares could not pay allotment money and on his subsequent failure to pay first call, his shares were forfeited. Another shareholder having 200 shares failed to pay two calls and his shares were accordingly forfeited. These forfeited shares were reissued for Rs. 90 per share as fully paid up. [14]

Pass the necessary journal entries of the above transactions.

OR /

Give the proforma of Profit and Loss Account and Balance Sheet as per Indian Companies Act with imaginary figures. [14]

- (f) Answer the following in not more than 75 words each: [4 × 3.5 = 14]
 - (i) Accounting Concepts ()
 - (ii) Capital Expenditure ()
 - (iii) Adjustments ()
 - (iv) Issue and redemption of debentures ()